

Gorkhapatra Corporation Act, 1963

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Gorkhapatra Corporation Act, 2019 (1962)

Royal Seal and Publication Date

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Amending Acts

1. Gorkhapatra Corporation (First Amendment) Act, 2028 (1971) 2028.12.20
2. Some Nepal Laws Relating to Communications (Amendment) Act, 2029 (1972) 2029.6.5
3. Judicial Administration Reform (Fourth Amendment) Act, 2043 (1986) 2043.7.24
4. Gorkhapatra Corporation (Second Amendment) Act, 2045 (1988) 2045.7.10
5. Some Nepal Acts Relating to Communications (Amendment) Act, 2047 (1990) 2047.7.14
6. Some Nepal Acts Relating to Communications (Amendment) Act, 2055 (1998) 2055.3.10
7. Some Nepal Acts Relating to Communications (Amendment) Act, 2057 (2000) 2057.10.18

Certification and Publication Date

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9. Some Nepal Acts (Amendment) Act, 2072 (2015) 2072.11.13

10. Act to Amend Some Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075 (2018) 2075.11.19

Act No. 64 of the year 2019 (1962)

An Act Made to Establish and Manage the Gorkhapatra Corporation

Preamble: Whereas, for the convenience and economic benefit of the Nepalese people, it is desirable to remove the operation and publication of the Gorkhapatra daily newspaper from the control of the Government of Nepal, to involve the general public to a greater extent by omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009). and to raise the standard of its publication to make it more popular and effective in line with the times, therefore, to form and manage it as a Corporation;

Now, therefore, this Act is made by His Majesty King Mahendra Bir Bikram Shahdev in accordance with Article 93 of the Constitution of Nepal. Chapter-1

Preliminary

1. Short title, extent and commencement: (1) This Act may be called the "Gorkhapatra Corporation Act, 2019 (1962)."

(2) This Act shall extend to the whole of Nepal omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009).

(3) This section shall come into force immediately, and the other sections shall come into force on such date as the Government of Nepal may, by notification published in the Nepal Gazette, appoint. Appointed to come

into force from the date 2020.3.25 (Nepal Gazette 2020.3.25). 2. Definitions: Unless the subject or context otherwise requires, in this Act -

(a) "Corporation" means the Gorkhapatra Corporation established under this Act.

(b) "Committee" means the Board of Directors of the Corporation.

(c) "General Manager" means the General Manager for the time being of the Corporation, and this term shall also include a person acting on his behalf.

(d) "Shareholder" means a shareholder who takes shares distributed in accordance with the rules made under this Act.

(e) "Prescribed" or "as prescribed" means prescribed or as prescribed by the rules or regulations made under this Act. Chapter-2

Establishment, Capital and Management

3.

Establishment of the Corporation: (1) A Corporation by the name of "Gorkhapatra Corporation" is hereby established. (2) The Corporation shall be an autonomous and incorporated body with perpetual succession. It shall have a separate seal for all its business. It may, subject to this Act and the prevailing Nepal law, acquire, hold, and transfer movable and immovable property. It may sue and be sued in its own name. (3) The principal office of the Corporation shall be in Kathmandu, and it shall be lawful for the Corporation to appoint or establish agents, correspondents, or sales centers within Nepal omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009). or abroad. 4. Capital, Shares and Shareholders: Amended by the First Amendment. (1) The authorized capital of the Corporation shall be as determined by the Government of Nepal. (2) The Government of Nepal shall hold at least fifty-one percent of the total capital shares of the Corporation, and amended by the Some Nepal Acts Relating to Communications (Amendment) Act, 2055 (1998). up to a maximum of twenty-five percent of the shares shall be sold to the employees of the Committee as prescribed. The remaining shares shall be sold to the general public. An employee shall not sell shares purchased by him as long as he remains in the service of the Corporation. (3) Each share shall be indivisible. (4) Generally, except for the employees of the Corporation, any person or company may be prohibited from holding more than the prescribed amended by the Some Nepal Laws Relating to Communications (Amendment) Act, 2029 (1972). percentage of shares. (5) The liability of the shareholders of the Corporation shall be limited. 5. Disqualification for being a Shareholder: No one other than a citizen of Nepal or a company or cooperative institution registered under Nepal law may buy shares or be a shareholder of the Corporation. 6. Power to accept grants and loans: After the provision of a General Meeting, as passed by that meeting, or until the provision of a General Meeting, the Corporation may, with the approval of the Government of Nepal, take necessary cash or kind loans or accept grants to increase its working capital. Provided that the Corporation shall not take loans or accept grants from any foreign agency without the approval of the Government of Nepal. 7. Management: Except as otherwise provided in this Act or the rules and regulations made under this Act, the supervision, direction, and management of all business and affairs of the Corporation shall be conducted by the Committee.

Provided that the Committee may delegate such of its duties and powers mentioned in this Act or the rules or regulations made under this Act as it may deem necessary and appropriate to the General Manager or a sub-committee consisting of one or more Directors or to other officers of the Corporation for performance and exercise. 8. Constitution of Board of Directors and term of office of Directors: Amended by the First

Amendment. (1) The Board of Directors (hereinafter referred to as the "Committee") shall consist of the following five Directors: (a) The General Manager of the Corporation, (b) One person elected by the General Meeting from among the non-government shareholders, (c) One person nominated by the Government of Nepal representing the government shares, (d) One person nominated by the Government of Nepal from among persons renowned in the field of journalism, publication, or literature, (e) One person elected from among the shareholder employees working in the Corporation. (2) Until the provision for election by the General Meeting or the provision for election under clause (e) of sub-section (1) from among the shareholder employees is made, the Director to be elected from among the shareholders shall also be nominated by the Government of Nepal. (3) Amended by the Some Nepal Laws Relating to Communications (Amendment) Act, 2029 (1972). The Chairperson of the Committee shall be appointed by the Government of Nepal, and in the absence of such appointment, the General Manager of the Corporation shall chair the Committee. (3a) Inserted by the Second Amendment. The term of office of Directors elected or nominated under clauses (b), (c), (d) and (e) shall be four years, and after the expiry of their term, they may be re-elected or re-nominated. (4) Amended by the Second Amendment. Notwithstanding anything contained in sub-section (3a), even before the expiry of the term of a nominated Director under clauses (c) and (d) of sub-section (1), the Government of Nepal may nominate some other person in his stead. (5) Amended by the First Amendment. After the election of a Director from among the employees of the Corporation by the General Meeting and assuming office, the Directors nominated by the Government of Nepal shall stand automatically revoked in their respect. (6) Omitted by the Second Amendment. 9. Disqualification for being a Director: Amended by the First Amendment.

No person described below shall be or remain a Director: (a) A person who is deaf or of unsound mind, (b) A person who has been convicted of a criminal offense involving moral turpitude and sentenced to imprisonment for more than 6 months, and 5 years have not elapsed since the date of completion of such imprisonment, (c) A person who is an undischarged insolvent, or (d) A person who has any kind of private interest in any contract, lease, or agreement with the Corporation. 10. Circumstances in which a Director may be removed: A nominated Director may be removed by the Government of Nepal, and an elected Director may be removed by a majority of the shareholders present at a General Meeting, in the following circumstances: (a) If any disqualification mentioned in Section 9 exists, or (b) If, without the permission of the Committee, he is absent from meetings of the Committee for more than 3 consecutive times, and such absence appears unreasonable in the view of the Government of Nepal, in the case of a nominated Director, or in the view of the General Meeting, in the case of an elected Director, or (c) If he is proved to be a participant in any contract or lease with the Corporation in violation of Section 16. 11. Resignation of Director and filling of vacancies: (1) Any nominated Director may resign from his office by giving written notice to the Government of Nepal, and an elected Director may resign by giving written notice to the Committee. Upon acceptance of the resignation, he shall be deemed to have vacated his office. (2) If the office of any nominated or elected Director falls vacant by reason of death, resignation, or any other cause, such vacancy shall be filled by another nomination or election, as the case may be, and the Director coming in by election shall hold office only for the remaining term of his predecessor. (3) No business done by the Committee shall be invalid merely because of any defect in its constitution or because any vacancy exists in the Committee. 12. Remuneration of Directors: The remuneration of Directors shall be as prescribed. 13. Meetings of the Committee: (1) Meetings of the Committee shall be held at such times and places as prescribed, and the procedure for meetings of the Committee shall be as prescribed.

The Chairperson, or in his absence, a Director chosen by the Directors from among themselves for that meeting, shall preside at the meeting of the Committee. (2) The quorum for a meeting of the Committee shall

be deemed to be constituted if more than half of the total number of members for the time being holding office are present, and if there is no quorum, the meeting shall be adjourned. (3) All matters shall be decided by a majority of the Directors present and voting at the meeting of the Committee. The Director presiding shall not ordinarily vote, but in case of an equality of votes, he shall have a casting vote. Amended by the First Amendment.14. Appointment of General Manager, Advisors and other employees: (1) For the conduct of the affairs of the Corporation, the Government of Nepal may appoint one General Manager and as many Advisors as necessary, and the Committee may appoint other employees. Their appointment, terms of service, procedure, and remuneration shall be as prescribed. Prohibitory phrase omitted by the Some Nepal Acts Relating to Communications (Amendment) Act, 2047 (1990). (2) The terms of appointment and service may include a condition requiring the employees of the Corporation to compulsorily purchase shares of the Corporation from the prescribed amount of their monthly remuneration. Provided that shares shall not be sold to employees appointed on a temporary basis or on contract service. Amended by the Second Amendment.15. Director not to participate in meeting: The General Manager or an employee who is a Director under Section 8 shall not be entitled to participate in his capacity as a Director in a meeting of the Committee convened for taking action against him. 16. Prohibition on Directors and General Manager of the Corporation: No Director of the Corporation and amended by the Some Nepal Acts Relating to Communications (Amendment) Act, 2057 (2000). no General Manager shall be a participant in any contract or lease with the Corporation. Provided that, as soon as any Director or General Manager becomes aware, directly or indirectly, of any interest in any contract or lease taken or given or proposed to be taken or given by the Corporation, or in any contract or lease taken, given, or proposed to be taken or given by any auxiliary body of the Corporation and submitted for the consideration of the Board of Directors, he shall promptly disclose such fact to the meeting of the Committee.

Such disclosure shall be recorded in the minute book, and the interested Director shall not be entitled to participate in any deliberation or decision of the Committee regarding such contract or lease. Amended by the First Amendment.17. Duties and functions of the Corporation: (1) Prohibitory phrase omitted by the Some Nepal Acts Relating to Communications (Amendment) Act, 2047 (1990). It shall be the duty of the Corporation to provide information on domestic and foreign news and other useful matters to the general public in a simple, accessible, and inexpensive manner throughout Nepal omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009). by publishing and distributing newspapers and periodicals characterized by a national perspective and comprehensiveness, fully healthy, responsible, and containing entertaining material.

(2) Without prejudice to the generality of the powers and duties under sub-section (1), the Corporation may, in particular, perform the following functions or exercise the following powers:

(a) To carry out all tasks related to the printing, publication, distribution, operation, etc., of the Gorkhapatra daily newspaper,

(b) To bring improvement to the publication standards of various editions of the Gorkhapatra daily newspaper and The Rising Nepal, and to include domestic and foreign news as extensively as possible,

Amended by the Some Nepal Acts (Amendment) Act, 2072 (2015). (c) To publish attractive, interesting, culturally indicative, and entertaining publications of a kind that develop national and democratic sentiments,

(d) Prohibitory phrase omitted by the Some Nepal Acts Relating to Communications (Amendment) Act, 2047 (1990).

- (e) To determine and collect the various editions, formats, prices, and other charges of the Gorkhapatra daily newspaper, The Rising Nepal, and other publications of the Corporation,
- (f) In addition to its own work, to print materials brought by the public for publication upon charging necessary fees,
- (g) To make provisions for education and training in the affairs of the Corporation for persons inside or outside the Corporation,
- (h) To acquire, hold, and transfer movable and immovable property for performing its functions,
- (i) To enter into and execute all contracts and agreements helpful in exercising its powers and performing its duties,
- (j) To borrow from others by mortgaging or pledging the property of the Corporation,
- (k) To lease, sell, or otherwise dispose of the property of the Corporation,
- (l) To pay interest on deposits and distribute dividends on the shares of the Corporation,
- (m) To carry out necessary publicity to increase public confidence in its publications,
- (n) Amended by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009).

To open sales centers or grant agencies at various places within Nepal and also abroad for the sale and distribution of its publications,

- (o) To make provisions for pension or gratuity for its officers or other employees and to open savings accounts,
- (p) To invest its funds in securities permitted by the Government of Nepal,
- (q) To do all other things necessary for the performance of its duties and the exercise of its powers under this Act and for carrying out the objectives of this Act. 18. Prior approval of Government of Nepal required: The Corporation shall not do the following things without the prior approval of the Government of Nepal:

Amended by the Second Amendment. Amended by the Some Nepal Acts Relating to Communications (Amendment) Act, 2055 (1998). (a) To purchase or acquire any immovable property worth more than one crore rupees, or

(b) Amended by the Second Amendment. To mortgage or pledge any immovable property for a period exceeding ten years, or

(c) Amended by the Second Amendment. To sell, transfer, or alienate any property, right, or facility worth more than five lakh rupees. 19. Submission of programme: (1) At least three months before the start of its own fiscal year, the Committee shall prepare and submit to the General Meeting for approval a financial estimate, including the programme of operations, development works, details of income and expenditure, details of other matters, capital investment, and, if additional assistance from employees is required, details thereof, to be carried out by the Corporation and its auxiliary bodies in the forthcoming fiscal year.

(2) If, in any fiscal year, the Corporation wishes to carry out any special work in addition to the matters mentioned in the programme already submitted under sub-section (1), and such work is likely to bring about material changes in the proposed financial estimate, the Corporation shall submit to the General Meeting for

approval a supplementary programme for such work and a supplementary estimate of the expenditure to be incurred and the revenue to be received from the remaining funds for that fiscal year.

(3) Until the provision of a General Meeting is made, the Committee shall submit the estimate under sub-sections (1) and (2) to the Government of Nepal. Chapter-4

General Meeting

20. General Meeting: (1) After shares worth at least 5 percent of the share capital issued for sale to the general public have been sold to the general public, a General Meeting (hereinafter referred to as the Annual General Meeting) shall be held at the principal office within 2 months from the date of closure of the annual accounts of the Corporation.

A Special General Meeting of the Corporation shall also be held at any other time if at least fifty shareholders make a written application under their signatures or if the Committee deems it necessary.

(2) For the first time, the quorum for a General Meeting shall not be considered complete without the presence of at least 100 shareholders. If the quorum is not complete, then upon the second call, the presence of 50 shareholders shall be considered as constituting a quorum. However, if even the second call fails to achieve the required number as written, the matter shall be submitted to the Government of Nepal and action shall be taken as directed.

(3) The shareholders present at the Annual General Meeting shall discuss the annual accounts and profit and loss account of the Corporation, the auditor's report thereon, and the Committee's report on the Corporation's work throughout the year. Until the provision for an Annual General Meeting is made, these matters shall be submitted to the Government of Nepal. Amended by the Some Nepal Laws Relating to Communications (Amendment) Act, 2029 (1972). (4) A shareholder of the Corporation shall be entitled to vote in a number equal to the percentage of shares purchased by him, calculated at the rate of one vote for each one percent of the total capital of the Corporation. Provided that,

(a) A shareholder who has purchased less than one percent of the total capital of the Corporation shall not be entitled to vote.

(b) If the share percentage exceeds one unit, he shall be entitled to vote only for the lower unit until the upper unit is reached. Added by the Some Nepal Laws Relating to Communications (Amendment) Act, 2029 (1972).

(4a) A shareholder shall not be entitled to vote without being personally present or sending a proxy at the meeting of the Annual General Meeting.

(5) Decisions of the meeting shall be made by a simple majority of the shareholders present. 21.

Power of Government of Nepal to give decisions and directions: (1) If there is a difference of opinion between the General Meeting and the Board of Directors regarding the operation of the Corporation, such matter shall be submitted to the Government of Nepal for decision, and the decision given by the Government of Nepal shall be final. (2) If the Government of Nepal deems it appropriate in the national interest, it may give directions to the Corporation regarding the following matters, and it shall be the duty of the Corporation to comply with such directions: (a) To operate a specified service in a particular area or to carry out other business activities, or (b) To discontinue any work being carried out by the Corporation in a particular area or entirely, or to make any change therein, or (c) Not to do any work that the Corporation intends to do. 22.

Power of Government of Nepal to cause inspection of Corporation's affairs: (1) The Government of Nepal may, by notification published in the Nepal Gazette, appoint an Inspector to inspect the Corporation. Provided

that the Corporation shall not be liable to bear the expenses incurred for such inspection. (2) The Inspector appointed under sub-section (1) shall be entitled to examine all accounts, books, and documents held by the Corporation. (3) The Inspector appointed under this section shall submit his report to the Government of Nepal. Chapter-5 Fund, Accounts and Audit 23. Fund of the Corporation: (1) The Corporation shall have its own separate Fund. All sums received by the Corporation, including loans and grants, shall be deposited in that Fund, and all sums payable by the Corporation shall also be borne by that Fund. (2) All sums in the Fund shall be deposited in the Nepal Rastra Bank or in other banks permitted by the Government of Nepal. (3) The Committee shall have the authority to spend such sums as are deemed appropriate for the functions authorized by this Act and the rules and regulations made under this Act. 24. Assumption of liability: The Corporation, or anything done or deemed to have been done by or for the Corporation, shall be deemed to include any liabilities and contracts undertaken by or with the Government of Nepal prior to the establishment of the Corporation in relation to the matters mentioned in this Act, to the extent allocated by the Government of Nepal for the Corporation. 25. Method of keeping accounts: All accounts of the income and expenditure of the Corporation shall be kept in accordance with the format and method approved by the Government of Nepal. 26.

Distribution of profit: The distribution and utilization of the profit made by the Corporation shall be as prescribed. 27. Audit: (1) The accounts of the Corporation shall be audited by a total of two auditors, one appointed by the Government of Nepal and one selected by the shareholders. The auditor selected by the shareholders shall be selected at the Annual General Meeting, and the remuneration of the auditors shall also be determined at that meeting. Provided that, until the provision of a General Meeting is made, the auditor appointed by the Government of Nepal alone shall audit the accounts of the Corporation. (2) If the office of the auditor selected by the shareholders becomes vacant for any reason, the Government of Nepal may fill such vacancy until the next General Meeting. (3) It shall be the duty of the auditors to audit the annual accounts and profit and loss account of the Corporation and the vouchers related thereto. The auditors shall be provided with the statements of all accounts held by the Corporation. They may, at any reasonable time, inspect and examine any accounts, books, and documents held at any place of the Corporation or by any officer or other employee of the Corporation. (4) The auditors shall submit one copy of their report on the annual accounts and profit and loss account to the Government of Nepal and, after the provision of a General Meeting of the Corporation, another copy to that meeting. The following matters shall be clearly stated in that report: (a) Whether the annual accounts and profit and loss account have been properly prepared, clearly showing all necessary matters so as to reflect the true financial position of the Corporation, (b) Whether the Corporation has provided any explanation or information requested by the auditor, and if provided, whether such explanation or information is satisfactory, and (c) Whether the annual accounts and profit and loss account submitted are in due form. (5) The auditors may submit proposals they deem appropriate for the proper management of the Corporation.

29. Repealed by the First Amendment. Amended by the First Amendment. 30. Penalties: (1) Any person who knowingly or with malafide intention makes a false statement or suppresses a true fact, distorts the content, or attempts to do so in any statement, account book, report, or any other document required to be kept, prepared, or submitted in accordance with this Act or the rules made under this Act, shall be liable to imprisonment for up to three years or a fine of up to three thousand rupees, or both.

(2) If any Director or employee of the Corporation, knowingly or negligently or with malafide intention, does any act other than those mentioned in sub-section (1) causing loss or damage to the Corporation, he shall be liable to imprisonment for up to one year or a fine of up to one thousand rupees.

(3) If any Director or employee of the Corporation obstructs the work of a person appointed to conduct an inspection under Section 22, or without any reasonable cause fails to provide any document or information lawfully requested by such person, or is negligent in providing them, he shall be liable to a fine of up to one thousand rupees.

(4) If any person uses the name of the Corporation in any statement or advertisement without the written permission of the Corporation, he shall be liable to imprisonment for up to 6 months or a fine of up to one thousand rupees, or both.

(5) If any person who is a Director or General Manager for the time being, in violation of Section 16, becomes a participant in a contract or lease with the Corporation and, without making the disclosure required by that section, derives or attempts to derive any benefit from such capacity, he shall be liable to imprisonment for up to 2 years or a fine of up to five thousand rupees, or both.

(6) If any loss or damage is caused to the Corporation by an offense punishable under this section, the amount of such loss or damage shall also be recovered from the person committing the offense. Added by the First Amendment.30A. Liaison with Government of Nepal: When the Corporation liaises with the Government of Nepal in the course of its business or when the Government of Nepal gives any direction to the Corporation under Section 21, the liaison or direction shall be made or given through the amended by the Act to Amend Some Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075 (2018). Ministry of Communication and Information Technology. Added by the Second Amendment.30B.

Local tax not leviable: No local tax of any kind shall be levied on the transactions of the Corporation. Repealed by the Judicial Administration Reform (Fourth Amendment) Act, 2043 (1986).31. Added by the First Amendment.31A. Protection of officers for loss or damage: No Director or employee of the Corporation shall be personally liable for any loss or damage caused by any act done or attempted in good faith for the purpose of performing his duty in accordance with this Act or the rules made under this Act. 32. Power of Government of Nepal to make rules: The Government of Nepal may make rules to carry out the objectives of this Act, and such rules shall come into force upon publication in the Nepal Gazette. 33. Power of Corporation to make regulations: For the proper conduct of the affairs of the Corporation, the Corporation may make regulations not inconsistent with this Act or the rules made under this Act, and such regulations shall come into force after approval by the Government of Nepal. 34. Prevailing law to be subject to this Act: Notwithstanding anything contained in the prevailing Nepal law, in respect of matters written in this Act or the rules made under this Act, the provisions of this Act or the rules shall apply. Schedule (Relating to Section 28) Pledge of Honesty and Secrecy I, , do hereby pledge that I will honestly and faithfully perform the duties incumbent upon me to the best of my ability and capacity in all matters related to my office in the Corporation in my capacity as Director, General Manager, employee, or Auditor. I further pledge that I will not disclose, or cause to be disclosed, any information concerning the Corporation to any unauthorized person, nor permit any person to inspect or receive any book or document pertaining to the Corporation that is in my custody.